Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 1 of 15 · Question 3 part c · 3 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**C** £218.2bn<br><br>A is not correct because this is calculated by Sales tax (VAT) + Income tax<br><br>B is not correct because this figure is calculated by Income tax + Tariffs<br><br>D is not correct because this is calculated by Tariffs + Business tax | **(1)** |

| Question Number | Member countries of a trading bloc agree to<br>Answer | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** trade together with low or no barriers<br><br>B is not correct because countries in a trading bloc can have different rates of income tax<br><br>C is not correct because members can trade with any country outside of the trading bloc<br><br>D is not correct because member countries do not always have common borders | **(1)** |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 1 of 15 · Question 3 part c · 3 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

| Question Number | Explain **one** advantage of using quotas for a country such as Brazil. Answer | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying an advantage<br>Award 1 mark for developing the advantage<br>Award 1 mark for the response being in context<br><br>• One advantage is domestic producers face less competition **(1)**. By only allowing 600 million litres of ethanol into Brazil **(1)** domestic producers may gain more market share **(1)**<br><br>• One advantage is higher revenue for domestic producers **(1)**. By restricting the amount of ethanol being imported into Brazil to 600 million litres **(1)** domestic producers might be able to increase sales **(1)**<br><br>Accept any other appropriate response | **(3)** |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 1 of 15 · Question 3 part c · 3 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse why the Slovenian Government might want to increase investment in healthcare. Indicative content |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Healthcare provides medicines and medical treatments to increase the overall health of the nation<br>• The social benefit of providing healthcare to an individual often exceeds the private benefit through immunisation programmes<br>• Investing €3.05bn in healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in Slovenian<br>• This can help to reduce inequality and poverty by enabling the population to work and gain income from being fit and healthy<br>• Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity<br>• This could result in economic growth and therefore help to improve standards of living in Slovenia<br>• Healthcare also provides many jobs for healthcare workers including nurses and doctors which helps to reduce unemployment |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 1 of 15 · Question 3 part c · 3 marks

2021 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the likely benefits of economic growth for a country such as Turkmenistan.<br>Indicative content |
|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Economic growth is the increase in the level of output by a nation and is one of the main macroeconomic objectives<br>• Turkmenistan has seen a 6.2% GDP growth rate which could result in an increase in employment levels in the oil and natural gas extraction industries<br>• This is due to firms requiring more workers for production as the economy grows<br>• Figure 4 shows an increase over time of GDP per capita which indicates that people have more income in Turkmenistan<br>• Consumers might be able to purchase more goods and services thereby improving standards of living<br>• Rapid economic growth could also help to reduce poverty in Turkmenistan particularly as over 50% of the labour force work in agriculture<br><br>**AO4**<br><br>• However, not all economic growth is good for an economy<br>• If economic growth is too fast, the Turkmenistan economy may overheat<br>• This could result in demand pull and cost push inflation<br>• Economic growth could also result in more negative externalities such as pollution and waste<br>• Turkmenistan relies heavily on the extraction of finite resources such as oil and gas which may cause a long-run depletion of natural resources<br>• Rapid increases in GDP can lead to a higher level of inequality as the gains from growth may go to only a few people |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 1 of 15 · Question 3 part c · 3 marks

2021 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 1 of 15 · Question 3 part c · 3 marks

2021 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

| Question Number | Calculate how much **interest, in Yuan (¥)**, Zhang Li received in one year. You are advised to show your working.<br>Answer | Mark |
|---|---|---|

| | | |
|---|---|---|
| **2(a)** | **AO2 1 mark**<br>**C** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(b)** | **AO1 1 mark**<br>**B** Increased choice for consumers | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(c)** | **AO1 1 mark**<br>Award 1 mark for **one** correct objective.<br>• Economic growth<br>• Low and stable inflation<br>• Low unemployment<br>• Surpluses or equilibrium on current account<br>• Redistribution of income<br>• Protection of the environment<br>Accept any other appropriate responses. | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(d)** | **AO1 2 marks**<br>Award 1 mark for reference to fixed exchange rate system and 1 mark for reference to increased<br>When the price of a currency in a fixed exchange rate system **(1)** is officially increased against other currencies **(1)**<br>**Or**<br>When a government fixes **(1)** new higher exchange rate **(1)**<br>Accept any other appropriate response | **(2)** |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 2 of 15 · Question 2 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(e)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is that the government can spend more within the economy **(1)**, this overspend can be used to invest in the public services such as infrastructure **(1)**, and this can create jobs within the Indian economy stimulating economic growth **(1).**<br><br>Accept any other appropriate response. | **(3)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(f)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a pattern of trade<br>Award 1 mark for developing the pattern of trade<br>Award 1 mark for the response being in context<br><br>• Developed countries such as Germany export valuable manufactured goods **(1)** such as cars and electrical goods **(1)** and import cheaper primary products such as tea and sugar **(1).**<br><br>• Developed countries such as Germany have moved away from the primary sector **(1)** and have more developed secondary and tertiary sectors **(1).** They export finished goods to developing countries such as Bangladesh **(1).**<br><br>Accept any other appropriate response. | **(3)** |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 2 of 15 · Question 2 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | Indicative content |
|---|---|
| **2(g)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Jobs may be created in Bangladesh with the investment from Japanese firms such as Honda and Nippon Koei<br>• Nippon Koei have recruited 2,500 employees to work in its steel factories<br>• Local businesses in Bangladesh may benefit from supplying MNCs with equipment and raw materials for car manufacturing<br>• Honda may train local workers to be employed in the car factories which could result in a reduction in unemployment and an increase in the standard of living in Bangladesh<br>• Economic growth may occur in Bangladesh as the government receives an increase in tax revenue from both the MNCs and the newly employed workers<br><br>**AO4**<br>• However, many of the Japanese MNCs are coming to Bangladesh for low wages which could result in poor working conditions for local employees<br>• There is no guarantee that jobs will be created for managerial positions as many MNCs do not train local workers to a high level<br>• MNCs may drive out local businesses as they take over businesses and gain market share<br>• Some MNCs damage the local environment and the cost of cleaning up pollution is often left to the host government. |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 2 of 15 · Question 2 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 2 of 15 · Question 2 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>**C** free trade | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>**B** Invisible trade | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to being willing and able and 1 mark for reference to unable to find employment<br><br>People are willing and able to work/actively seeking work **(1)** but cannot find employment **(1)**.<br><br>Accept any other appropriate responses. | **(2)** |

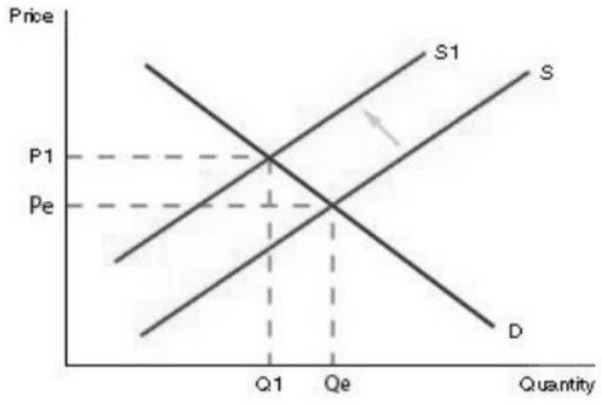
| Question Number | **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to decision and 1 mark for reference to not being both achievable<br><br>The choice between two objectives **(1)**, where for one objective to increase the other must decrease **(1)**.<br><br>Accept any other appropriate responses. | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 3 of 15 · Question 1 part h · 6 marks

2020 JAN · Paper 02 · extract 2 of 5 · find part h in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(e) | **A02 2 marks**<br><br>Award 1 mark for showing the calculation.<br><br>$\frac{8 \text{ million}}{72 \text{ million}} \times 100$ **(1)**<br><br>Award 1 mark for the correct answer.<br><br>= 11.11% **(1)**<br><br>Award 2 marks if the rate of unemployment is correctly calculated as 11.11%, with percentage sign, even if no calculations are shown.<br><br>Award 1 mark if correct answer is shown, but with no percentage sign, even with or without calculations.<br><br>Do not award marks for the formula. | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of supply, labelled<br>Award 1 mark for higher equilibrium price, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 3 of 15 · Question 1 part h · 6 marks

2020 JAN · Paper 02 · extract 3 of 5 · find part h in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• If the quality of domestically produced goods is poor compared to imported foreign goods **(1)** then fewer consumers will buy these goods **(1).** Imports are likely to increase which contributes to the current account deficit of $5.082bn **(1)**.<br><br>• If domestically produced goods are of poor quality **(1)** then there is less chance of exporting these goods to other countries **(1)**. Exports are likely to fall which contributes to the current account deficit of $5.082bn **(1)**.<br><br>Accept any other appropriate response. | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 3 of 15 · Question 1 part h · 6 marks

2020 JAN · Paper 02 · extract 4 of 5 · find part h in this mark scheme extract

| Question Number | Indicative content | |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Subsidies are financial support from a government to lower the production costs of domestic firms<br>• In this case, the Indian Government is providing a production subsidy of $725m to the farmers of sugar cane<br>• Subsidies will lower the price of Indian produced sugar cane and increase sales<br>• Financial support in the form of subsidies can help to protect local jobs<br>• Subsidies can also help to encourage agricultural output of sugar cane by encouraging an increase in supply<br>• Subsidies can help to improve competiveness against firms in other countries such as Australia that may not receive government assistance | |
| **Level** | **Mark** | **Descriptor** |
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 3 of 15 · Question 1 part h · 6 marks

2020 JAN · Paper 02 · extract 5 of 5 · find part h in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 4 of 15 · Question 1 part b · 1 mark

2020 NOV · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>**B** unemployment | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>**C** Subsidies | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to value of goods/services and 1 mark to time period<br><br>GDP is the market value of all goods and services **(1)** produced in a year **(1)**<br><br>Accept any other appropriate response | **(2)** |

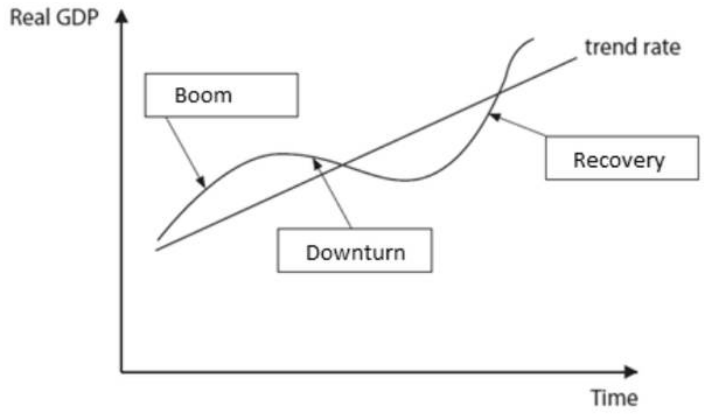
| Question Number | **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the positive impact and 1 mark for development of the positive impact<br><br>An improvement in standards of living **(1)** due to more income from jobs **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 4 of 15 · Question 1 part b · 1 mark

2020 NOV · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(e) | **A02 2 marks**<br><br>Award 1 mark for showing the calculation<br><br>$\frac{130.3 - 120.4}{120.4} \times 100$ **(1)**<br><br>Award 1 mark for the correct answer<br><br>= 8.22% **(1)**<br><br>Award 2 marks if the correct answer 8.22% is shown, with percentage sign, even if no calculation is shown<br><br>Award 1 mark if correct answer is shown 8.22, but with no percentage sign, even if no calculation is shown<br><br>Do not award marks for the formula | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 3 marks**<br><br>Award 1 mark for boom, labelled<br>Award 1 mark for downturn, labelled<br>Award 1 mark for recovery, labelled<br><br>  <br><br>**Figure 1** | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 4 of 15 · Question 1 part b · 1 mark

2020 NOV · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is due to generous welfare benefits **(1)**. If a teacher is able to have a good standard of living on welfare benefits **(1)** then there is a disincentive to work at the current wage rates being offered in the education sector **(1)**<br><br>• One reason is due to high rates of income tax **(1)**. If a person has to give a large proportion of earned income to the government **(1)** then there is less of an incentive to be employed as a teacher **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 4 of 15 · Question 1 part b · 1 mark

2020 NOV · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 1(h) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Firms need to transport goods and services around the world and often use large container ships or air to transport goods long distances<br>• Larger cargo ships have resulted in a reduction in the cost of transporting goods by up to 70% on ships as more goods are able to be transported at the same time<br>• This reduces the cost of fuel and economies of scale can be achieved by operating on a larger scale<br>• Transport improvements in aviation also mean that goods and people can travel more quickly between different countries<br>• This has enabled firms to react quickly to consumers around the world<br>• Firms are able to provide perishable goods such as food more easily to a wider geographical area<br>• All these factors have contributed to the increase in globalisation | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | **0** | No rewardable material. |
| Level 1 | **1–2** | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| Level 2 | **3–4** | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| Level 3 | **5–6** | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 4 of 15 · Question 1 part b · 1 mark

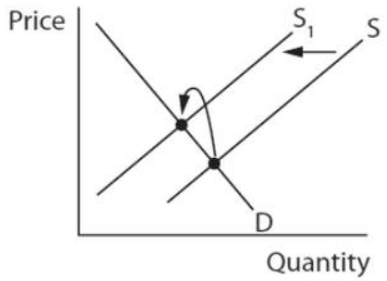
2020 NOV · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 5 of 15 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **AO2 1 mark**<br><br>**C**<br><br>  <br> | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(b)** | **AO1 1 mark**<br><br>**A** Deregulation | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(c)** | **AO1 1 mark**<br><br>Award 1 mark for **one** correct disadvantage<br><br>• Foreign competition<br>• Increasing unemployment<br><br>Accept any other appropriate responses | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to price of a currency and 1 mark for reference to another currency<br><br>The price of one currency **(1)** in terms of another currency **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 5 of 15 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|
| **2(e)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is that there may be increased demand for German exports **(1)** if consumers overseas are responsive to the cheaper export prices **(1)**. This has a positive impact on the current account of Germany if there is an overall increase in net exports **(1)**<br><br>• One reason is that this may reduce the quantity of imports into Germany **(1)** as it is now relatively more expensive to import goods due to the fall in the euro **(1)**. This could result in a decrease in net imports **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **2(f)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a possible way Award 1 mark for developing the possible way<br>Award 1 mark for the response being in context<br><br>• One way is that privatisation introduces competition into the airport market **(1)**. It creates incentives to lower unit costs **(1)** to increase productivity and profit **(1)**<br><br>• One way is that privatisation may improve the quality of the factors of production of airports **(1)**. This means that an airport can produce more services **(1)** without increasing inputs **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 5 of 15 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| **2(g)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Benefit payments are payments given to people to ensure they have a minimum standard of living<br>• These include benefits such as unemployment benefit, state pension and in this case, child benefit<br>• The advantages are that benefit payments help to reduce inequality and reduce relative poverty as the money is given directly to people on no or low-incomes<br>• Benefit payments will give those on low income a better living standard and help contribute to a more cohesive society<br>• Canada estimates that 300,000 children have been lifted out of poverty due to the child benefit payments<br>• This could be due to more working mothers being able to return to work and therefore being able to contribute to society<br><br>**AO4**<br>• However, increasing welfare benefits creates a disincentive to work<br>• Many families may face the poverty trap and are often better off on benefits than working<br>• The cost of the benefits has to be borne by society so there is often an opportunity cost to a country from using benefit payment to redistribute income<br>• Not all people are entitled to receive the child benefit which could result in resentment<br>• There are other methods which might be more effective in redistributing income, such as progressive taxation or investment in education<br>• The Canadian Government should use a combination of methods to reduce inequality and poverty | **(9)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 5 of 15 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | **0** | No rewardable material. |
| Level 1 | **1–3** | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| Level 2 | **4–6** | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| Level 3 | **7–9** | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 5 of 15 · Question 2 part a · 1 mark

2020 NOV · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 6 of 15 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br>The only correct answer is:<br>**C** Seasonal<br><br>A is not correct because this is caused by changes in whole industries<br><br>B is not correct because this is caused by falling demand as a result of a downturn in the economic cycle<br><br>D is not correct because this is caused from people choosing not to work | **(1)** |

| Question Number | Which **one** of the following terms refers to a tax on imported goods?<br>Answer | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br>The only correct answer is<br>**B** Tariff<br><br>A is not correct because this is money paid by a government to reduce costs and lower prices<br><br>C is not correct because this is a financial penalty for firms that break laws<br><br>D is not correct because this is a document that gives business the right to discharge a certain quantity of polluting material | **(1)** |

| Question Number | What is meant by the term recession?<br>Answer | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to fall in GDP and 1 mark for reference to time period<br><br>A fall in GDP **(1)** for two successive quarters **(1)**.<br><br>Accept any other appropriate response | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 6 of 15 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

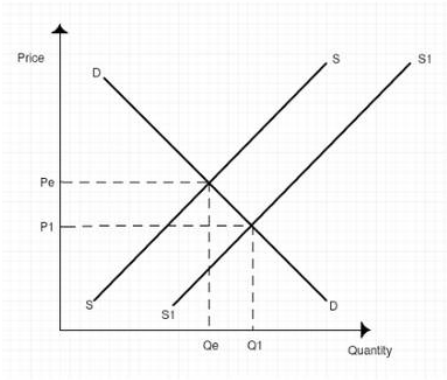
| Question Number | What is meant by the term dumping? Answer | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to exporting goods and 1 mark for reference to the price being below manufacturing costs<br><br>A firm sells goods in another country **(1)** below the cost of production **(1).**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate **the fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working. Answer | Mark |
|---|---|---|
| **1(e)** | **A02 2 marks**<br><br>Award 1 mark for showing the calculation<br><br>2 080 201 Rs – 2 784 200 Rs **(1)**<br><br>Award 1 mark for the correct answer<br><br>= –703 999 Rs **(1)**<br><br>Award 2 marks for the correct answer of –703 999 Rs even if no calculations are shown.<br><br>Award 1 mark if the answer given is –703 999 with or without calculations shown<br><br>Do not award marks for the formula | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 6 of 15 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

| Question Number | Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br>Answer | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for rightward shift of supply curve, labelled<br>Award 1 mark for lower equilibrium price, labelled<br>Award 1 mark for higher equilibrium quantity, labelled<br><br>  <br> | **(3)** |

| Question Number | Explain **one** benefit to the UK Government of providing parks.<br>Answer | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant benefit<br>Award 1 mark for developing the benefit<br>Award 1 mark for the response being in context<br><br>• One benefit is that national parks can protect a large area of land **(1)**. The Lake District National Park has over 12% of woodland that is protected **(1)**. Restrictions are in place to stop business activities that could damage the environment **(1)**<br><br>• One benefit is that national parks can be used for recreational purposes **(1)**. Over 19.17 million people visited the Lake District National Park in 2018 **(1)** increasing tourism for local firms **(1)**<br><br>Accept any other appropriate response | **(3)** |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 6 of 15 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland.<br>Indicative content |
|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• FDI is the value of inward investment from other countries/firms into a country<br>• FDI can bring in capital investment to Ireland as MNCs will need buildings, equipment and infrastructure to operate within the country<br>• Jobs can be created by MNCs which reduces unemployment and increases disposable income in Ireland<br>• There may be increased demand for the products or services of local Irish firms that supply MNCs<br>• MNCs may train up the local workforce and MNCs often bring new technologies, techniques and methods<br>• Increased employment and wages should lead to increased tax for the Irish Government<br>• Exports may also increase therefore improving the balance of payments for Ireland |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity an organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 6 of 15 · Question 1 part b · 1 mark

2021 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

| Question Number | An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?<br>Answer | Mark |
|---|---|---|

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 7 of 15 · Question 1 part a · 1 mark

2021 NOV · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br>The only correct answer is:<br>**D** Quota<br><br>A is not correct because this refers to currency and not a product<br>B is not correct because this relates to price rather than quantity<br>C is not correct because this defines a good not provided by the market | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br>The only correct answer is:<br>**C** Supply-side<br><br>A is not correct because this refers to exchange of goods and services<br>B is not correct because this concerns government revenue and expenditure<br>D is not correct because this is the price of one currency in terms of another | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to GDP/economic cycle and 1 mark for reference to speed<br><br>A period where GDP is still growing **(1)** but more slowly **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 7 of 15 · Question 1 part a · 1 mark

2021 NOV · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

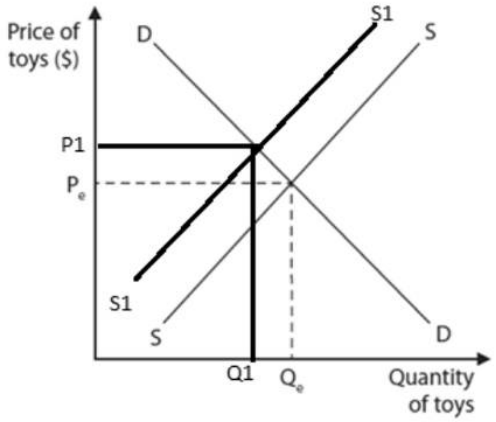
| Question Number | **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to new industry and 1 mark for reference to not well known in the market<br><br>New/fledgling industries **(1)** that have yet to establish themselves **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(e)** | **A02 2 marks**<br><br>Award 1 mark for showing the calculation<br><br>£73m x €1.08 **(1)**<br><br>Award 1 mark for the correct answer.<br><br>= €78 840 000 or €78.84m **(1)**<br><br>Award 2 marks for the correct answer of €78 840 000 or €78.84m even if no calculations are shown<br><br>Award 1 mark if the answer given is 78 840 000 or 78.84m with or without calculations shown<br><br>Do not award marks for the formula | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 7 of 15 · Question 1 part a · 1 mark

2021 NOV · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of supply curve, labelled<br>Award 1 mark for higher equilibrium price, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br><br>**Figure 1** | **(3)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant disadvantage<br>Award 1 mark for developing the disadvantage<br>Award 1 mark for the response being in context<br><br>• One disadvantage is an increase in inflation **(1)**. Growth of 4.9% in Malaysia means that firms will require more resources to make more goods and services **(1)**. If there is a shortage of resources then this might result in cost push inflation **(1)**<br><br>• One disadvantage is the damage caused to the environment **(1)**. Growth of 4.9% means more resources will be required to make goods and services **(1)**. This could result in an increase in pollution levels within Malaysia **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 7 of 15 · Question 1 part a · 1 mark

2021 NOV · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

| Question Number | **Indicative content** |
|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Monetary policy is the use of interest rates and money supply to control (aggregate) demand in the economy<br>• Monetary policy can be used to reduce inflationary pressures in Kenya by the central bank increasing interest rates<br>• An increase in interest rates above the current 9% base rate might help to reduce spending and investment in the economy thus slowing down economic activity and reducing inflationary pressure<br>• There might be a greater reward for saving which may discourage consumers from spending helping to reduce (aggregate) demand and therefore inflation in the economy<br>• A rise in interest rates may increase the value of the currency which could result in cheaper imports and therefore reducing inflation |

| **Level** | **Mark** | **Descriptor** |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 7 of 15 · Question 1 part a · 1 mark

2021 NOV · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|

| | | |
|---|---|---|
| **3(a)** | **AO2 1 mark**<br>The only correct answer is:<br>**B** £321.7bn<br><br>A is not correct because it includes indirect tax<br>C is not correct because it does not include business tax<br>D is not correct because it does not include income tax | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br>The only correct answer is:<br>**D** selling its own currency<br><br>A is not correct because this will increase demand for its currency<br>B is not correct because this will increase demand for your own currency<br>C is not correct because this will cause it to appreciate | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying an advantage<br>Award 1 mark for developing the advantage<br>Award 1 mark for the response being in context<br><br>• One advantage is an increase in exports **(1)**. Subsiding clothing by 4% can make exports more competitive **(1)**. This can result in greater export earnings and improve the current account **(1)**<br><br>• One advantage is more domestic firms may enter the market **(1)**. Subsiding home appliances by up to 10% makes them more price competitive **(1)**. This can result in an increase in employment **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 8 of 15 · Question 3 part c · 3 marks

2021 NOV · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

| Question Number | **Indicative content** |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Taxation can be imposed on activities that damage the environment<br>• Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service<br>• Increasing taxation on petrol and diesel fuel would substantially increase the price of fuel for road users which could reduce the amount of journeys taken by cars and other road vehicles<br>• Increased taxation could also raise additional revenue for the UK Government<br>• This could be used to finance pollution reduction schemes and improve air quality in the UK<br>• Taxation provides a market incentive for firms and consumers to switch to alternative forms of transport that may not cause as much environmental damage |

| **Level** | **Mark** | **Descriptor** |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 8 of 15 · Question 3 part c · 3 marks

2021 NOV · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

| Question Number | **Indicative content** |
|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• GDP is the market value of all final goods and services produced in a year<br>• GDP is used to measure economic growth all over the world<br>• This means that comparisons can be easily made between the growth rates of Ghana and different countries over time<br>• Ghana has double the GDP growth rate compared to other emerging economies<br>• GDP is also used as an indicator of a nation's overall standard of living because, generally, a nation's standard of living increases as GDP increases<br>• Ghana was predicted to have a 8.8% GDP growth rate in 2019 and this could indicate an increase in living standards for the population<br><br>**AO4**<br>• However, using GDP to measure growth does have some limitations<br>• Increases in inflation could distort the true rate of economic growth in Ghana and only real GDP figures reflect the true rate of economic growth in an economy<br>• GDP does not include figures for the hidden or informal economy which are not included in GDP figures<br>• GDP does not take into account external costs such as environmental costs and as a result GDP does not measure how these impact on the wellbeing of society<br>• Ghana is becoming heavily reliant on oil which can have many associated external environmental costs<br>• GDP figures do not reflect how additional income is distributed between the population of Ghana and much of the growth may not be evenly distributed amongst the population of Ghana who still may remain in poverty |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 8 of 15 · Question 3 part c · 3 marks

2021 NOV · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 8 of 15 · Question 3 part c · 3 marks

2021 NOV · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 9 of 15 · Question 3 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** The costs of searching for cheaper suppliers when inflation is high<br><br>A is not correct because these are variable costs<br>B is not correct because these are input costs<br>D is not correct because these are menu costs | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** Higher quality of domestic goods<br><br>A is not correct because this would increase imports and reduce a surplus<br>B is not correct because this would reduce the demand for exports and reduce a surplus<br>C is not correct because it is would make imports cheaper and reduce a surplus | **(1)** |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 9 of 15 · Question 3 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part c in this mark scheme extract

| Question Number | Explain one possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour.<br>**Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is to protect domestic firms **(1).** By only allowing 200,000 tonnes and 70,000 tonnes of wheat and flour into the country **(1)** domestic producers may gain more market share **(1)**<br><br>• One reason is higher revenue for domestic producers **(1).** By only allowing 200,000 tonnes and 70,000 tonnes of wheat and flour into the country **(1)** domestic producers might be able to increase supply to meet any shortages **(1)**<br><br>Accept any other appropriate response. | **(3)** |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 9 of 15 · Question 3 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part c in this mark scheme extract

| Question Number | Analyse the impact of deflation on consumer confidence in a country such as Singapore.<br>**Indicative content** | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Deflation is a persistent fall in the general price level of goods and services/ when the inflation rate is negative<br>• Consumer confidence is the outlook that consumers have towards the economy<br>• In the case of Singapore, the prices of airfares and holidays have declined due to the government lockdown as people cannot travel and demand has fallen sharply<br>• Changes in prices of goods and services often cause uncertainty and may influence the confidence of consumers<br>• Changes in prices might make consumers more anxious and cautious<br>• This results in a fall in consumer confidence as consumers worry about the state of the economy<br>• In times of deflation consumers will postpone spending particularly on consumer durables such as holidays and cars<br>• This is because consumers expect prices to fall even further or wait until the economy improves before buying goods | **(6)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 9 of 15 · Question 3 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 9 of 15 · Question 3 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part c in this mark scheme extract

| Question Number | Assess the advantages of using benefit payments to redistribute income in a country such as the UK.<br>**Indicative content** | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Benefit payments are payments given to people to ensure they have a minimum standard of living<br>• These include benefits such as Universal Credit<br>• Universal Credit involves giving money directly to people on no or low incomes<br>• For example, people aged 25 and under can receive £342.72 and this can be used to pay for living costs<br>• This will give those on low incomes a better living standard and the ability to be able to purchase basic necessities<br>• Benefits can help to contribute to a more cohesive society and reduce inequality within a society by redistributing income<br>• Benefit payments can help to reduce relative poverty in the UK<br><br>**AO4**<br>• However, using benefit payments may create a disincentive to work<br>• Many families may face the poverty trap and are often better off on benefit payments than working<br>• The cost of the benefit payments has to be borne by society so there is often an opportunity cost to a country from using benefit payments to redistribute income<br>• There are other methods which might be more effective in redistributing income, such as progressive taxation or investment in education<br>• The UK Government should use a combination of methods to reduce inequality and poverty | **(9)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 9 of 15 · Question 3 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 9 of 15 · Question 3 part c · 3 marks

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part c in this mark scheme extract

| Question Number | Calculate, to two decimal places, the percentage increase in GDP per capita between 2018 and 2019.<br>**Answer** | Mark |
|---|---|---|

| | | |
|---|---|---|
| **3(a)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**D** 5%<br><br>A is not correct because this answer is calculated by 1 - 5%<br>B is not correct because this answer is calculated by 1 + 5%<br>C is not correct because this answer is calculated by (50/$1050) x 100 | **(1)** |

| Question Number | Which **one** of the following terms means someone not having enough resources to meet all of their basic needs?<br>Answer | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** Absolute poverty<br><br>A is not correct because this describes the range of incomes in an economy<br>B is not correct because this describes someone having a lower standard of living in comparison to the average person in society<br>D is not correct because this refers to the gap between the rich and the poor | **(1)** |

| Question Number | Explain one possible reason why the US Government introduced this subsidy.<br>Answer | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is to protect domestic firms **(1).** Subsidies allow firms to lower prices **(1)** encouraging consumers to switch to US-manufactured cars with US-made batteries **(1).**<br><br>• One reason is to increase exports **(1)**. Subsiding cars by $500 can make exports of cars with US-made batteries more competitive **(1)**. This can result in greater export earnings and improve the current account **(1).**<br><br>Accept any other appropriate response | **(3)** |

13

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 10 of 15 · Question 3 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP.<br>Indicative content | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed<br>• The RCEP accounts for nearly 30% of global GDP and has 15 member countries<br>• Firms located within the RCEP would be able to easily access a much wider market for their goods and services in the other member countries thereby increasing sales<br>• Expansion into new countries without any trade barriers could help to reduce risk if demand falls within their own country<br>• Tariffs will be removed for trade between all 15 member countries<br>• Therefore any firms operating within the free trade area will be able to export to the other countries without these additional costs<br>• Trade within the RCEP countries could allow firms to obtain essential inputs at a much lower cost than can be found domestically | **(6)** |



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## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 10 of 15 · Question 3 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

15

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 10 of 15 · Question 3 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the impact of rising unemployment rates in the North East of England.<br>Indicative content | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Unemployment occurs when people of working age who are both willing and able to work cannot find a job<br>• Rising levels of unemployment such as 5.3% will result in lower economic growth as a large part of the workforce will be unproductive in the North East of England<br>• There will be a much greater burden on the UK Government to provide benefits to the unemployed in the region<br>• At the same time tax revenues in the North East will be lower meaning less is available to spend elsewhere<br>• The UK Government may have to provide more education and training schemes to help people enter employment<br>• There may be an increase in relative poverty within the region as unemployed workers have no income apart from benefits from the UK Government<br><br>**AO4**<br><br>• However, high rates of unemployment may help some firms compete<br>• Some firms within the North East may find it easier to recruit from a larger pool of workers due to the 5.3% unemployment rate<br>• Some firms may see a reduction in labour costs if there are high levels of unemployment due to fewer wage demands<br>• The number of people claiming benefits did in fact fall indicating that perhaps the rise in the unemployment rate was due to voluntary unemployment<br>• Therefore the impact might not as be as severe if this was the case<br>• The overall impact will depend upon the type of unemployment, the duration and the state of the economy in the North East of England | **(9)** |

16

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 10 of 15 · Question 3 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |



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Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 10 of 15 · Question 3 part c · 3 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

| Question Number | Calculate, to two decimal places, the rate of unemployment in the Netherlands in December 2021. You are advised to show your working.<br>Answer | Mark |
|---|---|---|

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>The only correct answer is:<br>**B** GDP starts to rise and economic activity is on the increase<br><br>A is not correct because this describes a boom<br>C is not correct because this describes a downturn<br>D is not correct because this describes a recession | **(1)** |

| Question Number | Which **one** of the following is an example of frictional unemployment?<br>Answer | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Workers are unemployed whilst waiting to start a new job<br><br>A is not correct because this is an example of cyclical unemployment<br>C is not correct because this is an example of seasonal unemployment<br>D is not correct because this is an example of structural unemployment | **(1)** |

| Question Number | What is meant by the term exports?<br>Answer | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to goods and 1 mark for reference to being sent to another country<br><br>The sale of goods or services **(1)** to another country **(1)**<br><br>Accept any other appropriate response. | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 11 of 15 · Question 1 part h · 6 marks

2023 JUN · Paper 02 · extract 2 of 5 · find part h in this mark scheme extract

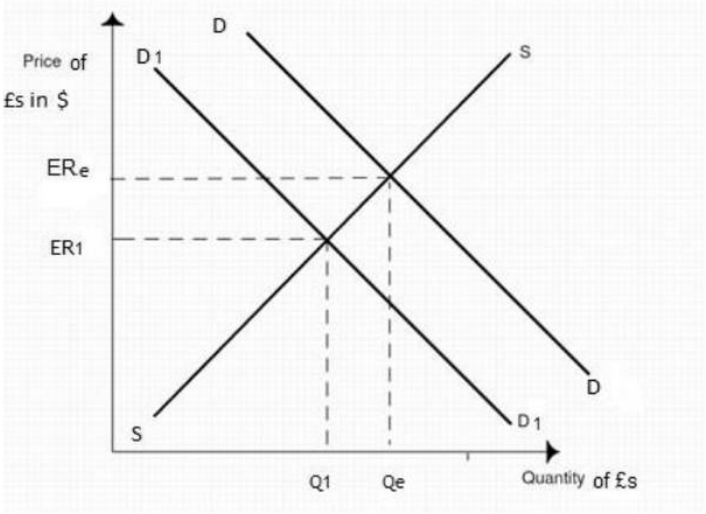
| Question Number | What is meant by the term globalisation?<br>Answer | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to interconnection and 1 mark for reference to world's economies<br><br>Growing interconnection **(1)** of the world's economies **(1)**<br><br>Accept any other appropriate response. | **(2)** |

| Question Number | Calculate how much the **average price level** increased between 2018 and 2021. You are advised to show your working.<br>Answer | Mark |
|---|---|---|
| **1(e)** | **AO2 2 marks**<br><br>Award 1 mark for showing the calculation<br><br>105.4 - 100 **(1)**<br><br>Award 1 mark for the correct answer<br><br>= 5.4% **(1)**<br><br>Award 2 marks if the correct answer 5.4% is shown, with percentage sign, even if no calculations are shown<br><br>Award 1 mark if the answer given is 5.4, but with no percentage sign, with or without calculations shown<br><br>Do not award marks for the formula. | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 11 of 15 · Question 1 part h · 6 marks

2023 JUN · Paper 02 · extract 3 of 5 · find part h in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.<br>Answer | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of demand curve, labelled<br>Award 1 mark for lower equilibrium exchange rate, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

| Question Number | Explain one effect of rising inflation on menu costs in the UK.<br>Answer | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant effect<br>Award 1 mark for developing the effect<br>Award 1 mark for the response being in context<br><br>• One effect is that menu costs may increase **(1).** When inflation is high, prices need changing frequently **(1).** Firms have to spend money to print new brochures/update websites with the higher prices **(1)**<br><br>Accept any other appropriate response. | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 11 of 15 · Question 1 part h · 6 marks

2023 JUN · Paper 02 · extract 4 of 5 · find part h in this mark scheme extract

| Question Number | Analyse the possible benefits for Columbia of having import quotas.<br>Indicative content | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Quotas are physical limits on the quantity of imports allowed into a country<br>• Quotas on rice might help to protect domestic rice farmers<br>• By restricting the amount of rice imported into Columbia domestic rice farmers may gain more market share<br>• This could result in higher revenues for domestic rice farmers<br>• Rice is a staple food in Columbia therefore is of national importance<br>• Therefore, domestic rice farmers might be able to increase the supply of rice to meet any shortages if imports are restricted by quotas | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 11 of 15 · Question 1 part h · 6 marks

2023 JUN · Paper 02 · extract 5 of 5 · find part h in this mark scheme extract

| Question Number | Fiscal policy would involve a change in which **one** of the following?<br>Answer | Mark |
|---|---|---|

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 12 of 15 · Question 3 part e · 9 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

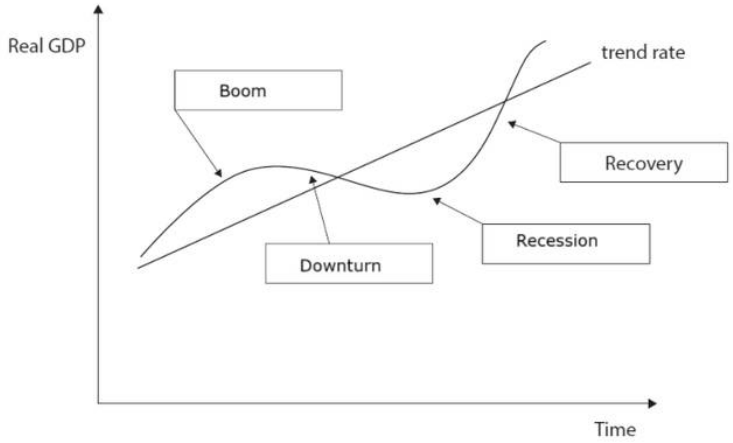
| Number | Answer | |
|---|---|---|
| **3(a)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**D** €100bn surplus<br><br>A is not correct because this is calculated by adding the figures together and assumes a deficit<br>B is not correct because this is €700bn-€800bn<br>C is not correct because this is €800bn + €700bn | **(1)** |

| Question Number | Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?<br>**Answer** | Mark |
|---|---|---|
| **3(b)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**B** The cost of updates to the website due to higher prices for shoes<br><br>A is not correct because this is a cost of production<br>C is not correct because this describes shoe leather costs<br>D is not correct because this is a cost of shopping online | **(1)** |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 12 of 15 · Question 3 part e · 9 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

| Question Number | Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for Boom, labelled<br>Award 1 mark for Downturn, labelled<br>Award 1 mark for Recession/Slump/Depression, labelled<br><br>  <br> | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 12 of 15 · Question 3 part e · 9 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers.<br>**Indicative content** | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Globalisation has opened new markets for producers to sell their goods and services to<br>• This has created new opportunities for clothing producers in China and Bangladesh to expand their customer base and increase their sales revenue<br>• It has enabled clothing producers to use cheaper labour and raw materials in China and Bangladesh<br>• This has led to a reduction in production costs for clothing which has increased profitability for producers<br>• Globalisation has enabled clothing producers to benefit from economies of scale<br>• As production volumes of clothing increase the cost per unit decreases which can lead to lower prices for consumers and increased profits for the producers<br>• Reduced costs of communication have occurred as technology has enabled producers to easily trade with other firms in the clothing supply chain | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 12 of 15 · Question 3 part e · 9 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the possible benefits for the Brazilian economy of introducing a tariff on tyres.<br>**Indicative content** | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• A tariff is a tax on imported goods and services<br>• The 16% tariff may have been introduced to protect the domestic tyre industry from foreign competition<br>• By making imported tyres more expensive the tariff can make domestic tyres more competitive and help to support jobs in the domestic industry<br>• The tariff may have been introduced to address trade imbalances<br>• Brazil may be running a trade deficit therefore by increasing the cost of imports, the tariff can help to reduce imports<br>• The 16% tariff may be to generate government revenue. The revenue generated from the tariff can be used to fund public services or pay off government debt<br><br>**AO4**<br>• However, tariffs can reduce competition in the tyre market as Brazilian producers have less incentive to improve quality and lower prices<br>• This could lead to lower quality tyres being produced domestically and less innovation in the market<br>• Other countries may respond to the tariff by imposing their own tariffs on Brazilian goods, leading to a trade war that could harm both countries' economies<br>• This could lead to a decrease in the overall volume of trade and a reduction in economic growth<br>• A tariff on imported tyres would likely result in higher prices for consumers<br>• As the cost of imported tyres increases Brazilian tyre producers may also increase their prices leading to higher prices for all types of tyres | **(9)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 12 of 15 · Question 3 part e · 9 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 12 of 15 · Question 3 part e · 9 marks

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

| Question Number | Calculate, to two decimal places, **the price in British pounds (£)** of a park entry fee for 1 adult into the Corcovado National Park. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 13 of 15 · Question 2 part g · 9 marks

2024 JUN · Paper 02 · extract 1 of 7 · find part g in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** Increased economic growth<br><br>A is not correct because it is likely to create more job opportunities<br>B is not correct because it will make it easier and cheaper for firms to trade internationally<br>D is not correct because it can make it easier and cheaper for consumers to purchase goods and services | **(1)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 13 of 15 · Question 2 part g · 9 marks

2024 JUN · Paper 02 · extract 2 of 7 · find part g in this mark scheme extract

| Question Number | Which **one** of the following types of unemployment is caused by changes in the business cycle?<br>**Answer** | Mark |
|---|---|---|
| **2(b)** | **AO1 1 marks**<br><br>The only correct answer is:<br>**D** Cyclical<br><br>A is not correct because this occurs due to a mismatch between the skills and qualifications of workers and the requirements of available jobs<br>B is not correct because this occurs due to seasonal changes in the demand for labour<br>C is not correct because this occurs when workers are in between jobs or transitioning to a new career | **(1)** |

| Question Number | State **one** possible impact of a current account deficit.<br>**Answer** | Mark |
|---|---|---|
| **2(c)** | **AO1 1 mark**<br><br>Award 1 mark for **one** possible impact<br><br>• Leakage from the economy<br>• Problems finding foreign currency reserves to fund the deficit<br>• Can be inflationary<br>• Increasing unemployment<br>• Falling output/GDP<br><br>Accept any other appropriate response | **(1)** |

| Question Number | What is meant by the term fines?<br>**Answer** | Mark |
|---|---|---|
| **2(d)** | **AO1 2 marks**<br><br>Award up to 2 marks for a correct definition<br><br>Financial penalties imposed on individuals or businesses **(1)** who break the law/disobey regulations **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 13 of 15 · Question 2 part g · 9 marks

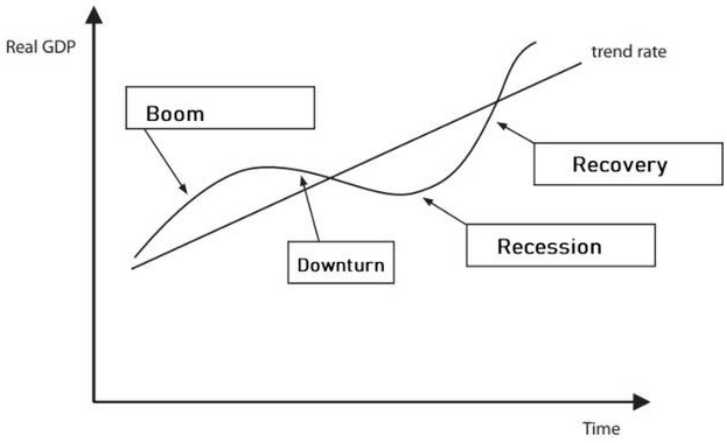
2024 JUN · Paper 02 · extract 3 of 7 · find part g in this mark scheme extract

| Question Number | Explain **one** way progressive taxation can help to reduce poverty for a country such as the US.<br>**Answer** | Mark |
|---|---|---|
| **2(e)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant way<br>Award 1 mark for developing the way<br>Award 1 mark for the response being in context<br><br>• Those that earn more pay a higher percentage in tax **(1)** which can pay for unemployment benefits, healthcare services and education subsidies **(1)** that can provide help for those who are struggling financially **(1)**<br><br>• It reduces the income gap between the wealthy and people with lower incomes **(1).** Taking more taxation as a proportion from higher income earners **(1)** reduces the burden on workers with lower incomes **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 13 of 15 · Question 2 part g · 9 marks

2024 JUN · Paper 02 · extract 4 of 7 · find part g in this mark scheme extract

| Question Number | Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer** | Mark |
|---|---|---|
| **2(f)** | **AO2 3 marks**<br><br>Award 1 mark for Boom, labelled<br>Award 1 mark for Downturn, labelled<br>Award 1 mark for Recovery, labelled<br><br>  <br> | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 13 of 15 · Question 2 part g · 9 marks

2024 JUN · Paper 02 · extract 5 of 7 · find part g in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the possible benefits for the US of giving subsidies for green technology.<br>**Indicative content** | Mark |
|---|---|---|
| **2(g)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Subsidies are payments by the government to suppliers that reduce their costs<br>• Subsidies can be used to promote domestic green technology industries that are deemed important for economic and social objectives<br>• The $369bn can be used to encourage the production of renewable energy in the US producing batteries, solar panels and wind turbines<br>• Subsidies can be used to encourage exports, by making domestic goods such as solar panels, more competitive on the global market thereby reducing trade deficits<br>• Subsidies can be used to protect domestic employment by supporting US industries that might otherwise struggle to compete with foreign rivals in China<br>• It may help to create new factories and millions of jobs as well as in related industries, such as manufacturing and construction, if green technology firms are attracted to the US to take advantage of the subsidies<br><br>**AO4**<br><br>• However, subsidies may create a dependence on the US Government which can make it difficult for these projects to be self-sustaining in the long-term<br>• Subsidies can be expensive for the US Government and may divert funds away from other important priorities<br>• Subsidies may be allocated inefficiently and may not be targeted towards the most effective or innovative green technologies<br>• There could be retaliation from the EU and the UK that are unhappy with these subsidies and they could offer their own subsidies to attract green technology firms away from the US<br>• Therefore, this may make the use of subsidies an inefficient use of resources by the US Government | **(9)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 13 of 15 · Question 2 part g · 9 marks

2024 JUN · Paper 02 · extract 6 of 7 · find part g in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 13 of 15 · Question 2 part g · 9 marks

2024 JUN · Paper 02 · extract 7 of 7 · find part g in this mark scheme extract

| Question Number | Which **one** of the following is an example of Foreign Direct Investment (FDI)?<br>**Answer** | Mark |
|---|---|---|

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 14 of 15 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** Increases the production of goods and services<br><br>A is not correct because subsidies will increase government spending<br>B is not correct because subsidies support domestic production rather than increasing imports from other countries<br>D is not correct because subsidies are likely to increase trade disputes rather than reduce them | **(1)** |

| Question Number | The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130. Calculate the new price of the basket of goods and services.<br>**Answer** | Mark |
|---|---|---|
| **3(b)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**B** £1 300<br><br>A is not correct because this is £1 200 + 10<br>C is not correct because this is £1 200 + 130<br>D is not correct because this is £1 200 + 120 + 130 | **(1)** |

| Question Number | Explain the likely impact on productivity of this change in business taxes for a country such as Italy.<br>**Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant impact<br>Award 1 mark for developing the impact<br>Award 1 mark for the response being in context<br><br>• One impact is an increase in productivity **(1).** Firms can keep more of the profit earned allowing them to invest in new technology/training **(1).** This will enable the firm to be more efficient/increase output per worker **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 14 of 15 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse how regulations can help to protect the environment in a country such as the US.<br>**Indicative content** | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Regulations are rules made by a government or other authority in order to control the way something is done or the way people behave<br>• Regulations can help to prevent pollution by setting standards for firms and individuals to follow<br>• For example, the CAA has set standards for environmental quality such as air quality standards in the US<br>• These standards can limit the amount of pollutants that can be released into the environment by cars, trucks and buses therefore protecting the environment<br>• Governments can enforce these regulations to ensure that firms and individuals comply with them<br>• There are negative consequences for firms if they do not follow regulations so many firms do comply with them | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 14 of 15 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess whether income tax is a reliable source of government revenue for a country such as Australia.<br><br>**Indicative content** | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Income tax is levied on personal income<br>• Income tax represents 47% of total revenue and is the largest source of revenue for the Australian Government<br>• This can help to provide a stable and reliable source of revenue for the Australian Government allowing for effective budget planning and public service provision<br>• Income tax revenue plays a critical role in funding essential public services such as healthcare, education, and social welfare programmes ensuring a high standard of living for Australian citizens<br>• Australia's income tax system is progressive, meaning higher-income individuals pay a larger portion of their income in taxes<br>• This helps reduce income inequality and promotes social equity<br><br>**AO4**<br>• However, income tax revenue can be dependent on how many workers are actively participating in the Australian economy and paying income tax<br>• Income tax revenue could fall in times of recession or when there are high levels of unemployment restricting the amount available to the Australian Government for public services<br>• Higher income tax rates can discourage work, investment, and entrepreneurship, potentially reducing economic growth and job creation<br>• There are many other sources of revenue which are also reliable for the Australian Government<br>• Sales tax contribute 14% towards the revenue received and relies on consumption rather than employment | **(9)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 14 of 15 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 14 of 15 · Question 3 part a · 1 mark

2024 NOV · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

| Question Number | Calculate, to two decimal places, the percentage change in GDP for India between 2021 and 2022. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 15 of 15 · Question 1 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** A construction worker not finding work during the monsoon period<br><br>A is not correct because this is an example of structural unemployment<br>C is not correct because this is an example of cyclical unemployment<br>D is not correct because this is an example of voluntary unemployment | **(1)** |

| Question Number | Which **one** of the following is likely to cause cost-push inflation?<br><br>**Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** An increase in the prices of raw materials paid by producers<br><br>A is not correct because this is more likely to cause demand-pull inflation<br>B is not correct because this affects the supply-side but it is not a direct cause of cost-push inflation<br>D is not correct because this stimulates demand rather than increasing production costs | **(1)** |

| Question Number | What is meant by the term current account deficit?<br><br>**Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 2 marks for a correct definition<br><br>When the value of imports **(1)** exceeds the value of exports **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 15 of 15 · Question 1 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

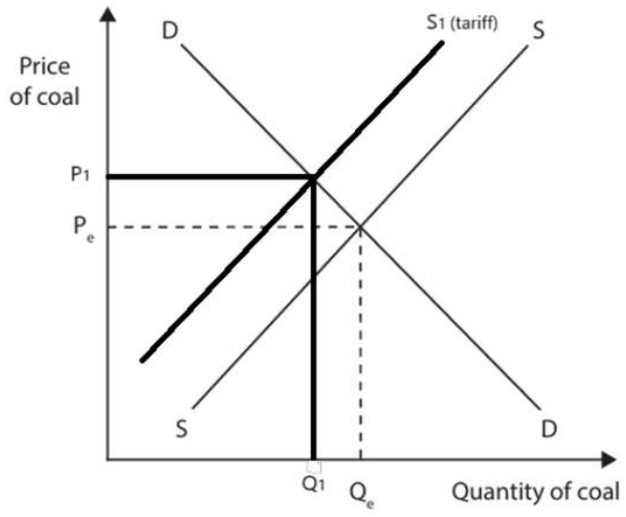
| Question Number | Describe **one** benefit to a country of using quotas for imported goods.<br><br>**Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the benefit and 1 mark for the development of the benefit<br><br>One benefit is quotas can protect domestic industries **(1)** due to restricting the quantity of certain imports **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.<br><br>**Answer** | Mark |
|---|---|---|
| **1(e)** | **A02 2 marks**<br><br>Award 1 mark for calculation of the price in euros<br><br>750 × €1.18 **(1)**<br><br>Award 1 mark for the correct answer<br><br>= €885 **(1)**<br><br>Award 2 marks if the correct answer is €885 even if no calculations are shown<br><br>Award 1 mark if the answer given is 885 even if no calculations are shown<br><br>Do not award marks for the formula. | **(2)** |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 15 of 15 · Question 1 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br><br>**Answer** | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for a leftward shift of the supply curve, labelled<br>Award 1 mark for a higher equilibrium price, labelled<br>Award 1 mark for a lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

Answer 15 of 15 · Question 1 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

| Question Number | Explain **one** possible benefit of using pollution permits to protect the environment for a country such as the UK.<br><br>**Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant benefit<br>Award 1 mark for developing the benefit<br>Award 1 mark for the response being in context<br><br>• One benefit is that the health of UK citizens will be improved **(1).** Fewer available permits make airlines find ways to adopt cleaner technologies/improve efficiency. **(1)** This will help to reduce air pollution **(1)**<br><br>• One benefit is that air pollution will decrease **(1).** This is because airlines are limited in how much they can pollute **(1)** so they must reduce their emissions to stay within limits **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | With reference to the data above and your knowledge of economics, analyse the benefits of using GDP as a measure of economic growth for a country such as India.<br><br>**Indicative content** | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• GDP helps to understand the size and overall economic health of India<br>• This makes it easier to assess how well the Indian economy is doing and whether it is growing or shrinking<br>• India's GDP growth rate of 7.2% in 2023 allows for easy comparison with other major economies, showing its position and progress on a global scale<br>• The GDP growth figures, of 7.2% in 2023 and forecasted 6.9% in 2024, help the government assess the effectiveness of its economic policies<br>• Rising GDP signals more income/output, helping the Indian government plan for infrastructure, health or education spending<br>• Generally, if India's GDP is increasing, it means people might be earning more and living standards could be improving | **(6)** |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 15 of 15 · Question 1 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
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| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Tariffs, quotas and subsidies: how they protect, gains and costs

### Answer 15 of 15 · Question 1 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

| Question Number | The percentage of income tax paid by an individual in a progressive tax system<br><br>**Answer** | Mark |
|---|---|---|